

Article | 16 July 2026

COMMODITIES DAILY

The Commodities Feed: Renewed US-Iran tensions unnerve oil market

Oil prices continue to move higher, with neither the US nor Iran showing any real intent to dial down the latest surge in tensions



Energy - Physical oil market sees renewed strength

Oil prices managed to eke out a third day of gains amid few signs of de-escalation between the US and Iran. The US carried out additional strikes against Iran. There are also media reports that the US is considering increasing military operations. Iran, meanwhile, said it has no plans to talk. The rapid deterioration is having a meaningful impact on vessel flows from the Persian Gulf. Tanker traffic through the Strait of Hormuz remains depressed, with crossings still under clear pressure. Even so, US officials claim more than 100 vessels managed to get through the strait over the last week with US military support.

The concern is that renewed oil supply disruptions come amid the large inventory drawdowns through the second quarter, leaving the market more vulnerable. In addition, global SPR releases, which have helped the market out over recent months, are set to end in the next few weeks.

The reduction in Persian Gulf energy flows is having an obvious impact on the physical market.

Dated Brent vs. front-line Brent futures (DFL) is back at a premium of \$1.30/bbl, having traded at a discount to the futures through late June and early July. Meanwhile, in the US, Mars crude differentials have rallied. Buyers are once again seeking alternative supplies amid renewed disruptions in the Persian Gulf.

According to the EIA, US commercial crude oil inventories fell by 1.69m barrels over the last week. When taking SPR releases into consideration, total crude oil inventories fell by 4.68m barrels. US commercial crude oil inventories remain near the lowest levels since 2022, while seasonally they are at their lowest level since 2018. Gasoline stocks continue to fall through the summer, with inventories declining by 1.53m barrels. There was a bit more relief for the distillate market, with inventories growing by 4.56m barrels, on the back of weaker demand. However, middle distillate markets, both in the US and globally, remain very tight. This is well reflected in the strength in middle distillate cracks.

Investment funds boosted their net long in TTF natural gas by 26.7TWh over the last reporting week to 181.9TWh. The move is dominated by fresh longs entering the market. The LNG and European gas markets remain vulnerable amid the flare-up in hostilities between the US and Iran. There's increased competition between Europe and Asia for spot LNG cargoes. Recent heatwaves across parts of Europe and Asia only add to concerns. LNG supply disruptions and stronger power generation demand make the job of refilling storage ahead of the heating season increasingly more difficult. EU gas storage is just 53% full vs a 5-year average of 68%, and some distance from the EU's minimum target ahead of 75% going into the heating season.

Metals – Gold up as softer inflation eases Fed concerns

Gold rose for a second straight session as softer-than-expected US producer price data weighed on the dollar and Treasury yields. Lower energy costs helped ease inflation pressures, reducing expectations of near-term Federal Reserve tightening. Markets now price only a 12% chance of a July rate hike, down from almost 31% a week ago. Lower rate expectations are supportive for gold. But we believe upside could remain limited in the near term if Middle East tensions continue to support energy prices and keep inflation risks elevated.

In base metals, LME lead inventories jumped by a further 86.5kt for a second consecutive session. They reached a record 456.7kt, with most of the inflows reported into Singapore warehouses. On-warrant stocks also climbed to a record high, while cancelled warrants fell for a second day. The sharp inventory build extended pressure on lead prices, with three-month LME lead declining for a third consecutive session. Rising exchange stocks point to a well-supplied market and suggest lead could remain under pressure in the near term.

Latest data from the International Lead and Zinc Study Group (ILZSG) shows the global lead market recorded a surplus of 19kt in the first five months of 2026, up from 16kt a year earlier. For zinc, the surplus widened to 163kt from 44kt over the same period last year.

Agriculture – Wheat climbs amid Black Sea tensions

CBOT wheat prices rallied significantly yesterday, with the market settling more than 7.3% higher. This strength comes amid escalating tensions between Ukraine and Russia, raising concerns over potential disruptions to Black Sea shipping and grain exports. Ukraine reported strikes on several Russian vessels in the Black Sea and said it has targeted more than 100 Russia-linked ships in the Sea of Azov in recent days, heightening risks along key trade routes through the Kerch Strait.

Meanwhile, preliminary estimates from the French Agriculture Ministry indicate that wheat production could decline to 32mt in 2026, down 4% year-on-year and below the historical average. The reduction is largely attributed to lower yields, which are forecast to fall 7% year-on-year to 6.9t/hectare following successive heatwaves. Weaker output from one of the EU's largest wheat producers could further tighten global supplies and lend additional support to prices.

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@asia.ing.com

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England

THINK economic and financial analysis

(Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.